Blue = label Green = extracted value Red outline = printed but not tracked

Microsoft

Third Quarter Fiscal Year 2026 Outlook

January 28, 2026

Satya Nadella
Amy Hood
Jonathan Neilson

This presentation contains forward-looking statements, which are any predictions, projections, or other statements about future events. These statements are based on current expectations and assumptions that are subject to risks and uncertainties. Actual results could materially differ because of factors discussed in today's earnings press release, in the comments made during the conference call, and in the Risk Factors section and other sections of our Form 10-K, Forms 10-Q, and other reports and filings with the Securities and Exchange Commission. We do not undertake any duty to update forward-looking statements.

FY26 Q3 Outlook

Foreign currency impact	• Increase to total revenue growth of 3 points, with 4 points in Productivity and Business Processes and 2 points in Intelligent Cloud and More Personal Computing • Increase to COGS growth and Opex growth of 2 points
Total Company	• Revenue of $80.65 to $81.75 billion
Productivity and Business Processes	• Revenue of $34.25 to $34.55 billion
Intelligent Cloud	• Revenue of $34.1 to $34.4 billion
More Personal Computing	• Revenue of $12.3 to $12.8 billion
Cost of revenue	• COGS of $26.65 to $26.85 billion
Operating expenses	• Expenses of $17.8 to $17.9 billion
Other income and expense	• Expected to be roughly $700 million excluding any impact from our investments in OpenAI
Effective tax rate	• Approximately 19% excluding any impact from our investments in OpenAI

FY26 Q3 Outlook Detail

Commercial Business

Commercial bookings	Healthy growth in the core business on a growing expiry base when adjusted for OpenAI contracts in the prior year
Microsoft Cloud gross margin percentage	Roughly 65%

Productivity and Business Processes

Microsoft 365 Commercial cloud revenue	Growth between 13% to 14% in constant currency
Microsoft 365 Commercial products revenue	Decline in low-single digits
Microsoft 365 Consumer cloud revenue	Growth in mid- to high-twenties
LinkedIn revenue	Growth of low-double digits
Dynamics 365 revenue	Growth in high-teens

Intelligent Cloud

Azure and other cloud services revenue	Growth between 37% to 38% in constant currency
Server products revenue	Decline in low-single digits

More Personal Computing

Windows OEM and Devices revenue	Decline in low-teens
Search and news advertising revenue (ex TAC)	Growth in high-single digits
Xbox content and services revenue	Decline in mid-single digits



© Copyright Microsoft Corporation. All rights reserved.